

Vaquite Industries, Inc.

AUDIT PLANNING

ASSERTION-LEVEL RISK ASSESSMENT**WORKPAPER REF. PL-ALRA**

PREPARED BY: _____ DATE: _____

REVIEWED BY: _____ DATE: _____

CYCLE	ASSERTION	INHERENT RISK	CONTROL RISK	ROMM	CONTROLS RELIANCE	PLANNED RESPONSE
Cash	Existence	Moderate	Moderate	Moderate	No	Substantive analytics and risk-calibrated detail testing
Cash	Rights	Moderate	Moderate	Moderate	No	Substantive analytics and risk-calibrated detail testing
Cash	Completeness	Moderate	Moderate	Moderate	No	Substantive analytics and risk-calibrated detail testing
Cash	Accuracy	Moderate	Moderate	Moderate	No	Substantive analytics and risk-calibrated detail testing
Accounts receivable	Existence	Moderate	Moderate	Moderate	No	Substantive analytics and risk-calibrated detail testing
Accounts receivable	Rights	Moderate	Moderate	Moderate	No	Substantive analytics and risk-calibrated detail testing
Accounts receivable	Valuation	Moderate	Moderate	Moderate	No	Substantive analytics and risk-calibrated detail testing
Accounts receivable	Cutoff	Moderate	Moderate	Moderate	No	Substantive analytics and risk-calibrated detail testing
Accounts payable and accruals	Completeness	Moderate	Moderate	Moderate	No	Substantive analytics and risk-calibrated detail testing
Accounts payable and accruals	Valuation	Moderate	Moderate	Moderate	No	Substantive analytics and risk-calibrated detail testing
Accounts payable and accruals	Cutoff	Moderate	Moderate	Moderate	No	Substantive analytics and risk-calibrated detail testing
Accounts payable and accruals	Classification	Moderate	Moderate	Moderate	No	Substantive analytics and risk-calibrated detail testing
Inventory	Existence	High	Moderate	High	No	observation, cutoff, costing, overhead, and NRV testing
Inventory	Rights	Moderate	Moderate	Moderate	No	Substantive analytics and risk-calibrated detail testing
Inventory	Valuation	High	Moderate	High	No	observation, cutoff, costing, overhead, and NRV testing
Inventory	Cutoff	Moderate	Moderate	Moderate	No	Substantive analytics and risk-calibrated detail testing
Fixed assets	Existence	Moderate	Moderate	Moderate	No	Substantive analytics and risk-calibrated detail testing
Fixed assets	Rights	Moderate	Moderate	Moderate	No	Substantive analytics and risk-calibrated detail testing
Fixed assets	Valuation	Moderate	Moderate	Moderate	No	Substantive analytics and risk-calibrated detail testing
Fixed assets	Classification	Moderate	Moderate	Moderate	No	Substantive analytics and risk-calibrated detail testing

CYCLE	ASSERTION	INHERENT RISK	CONTROL RISK	ROMM	CONTROLS RELIANCE	PLANNED RESPONSE
Debt	Completeness	Moderate	Moderate	Moderate	No	Substantive analytics and risk-calibrated detail testing
Debt	Rights	Moderate	Moderate	Moderate	No	Substantive analytics and risk-calibrated detail testing
Debt	Valuation	Moderate	Moderate	Moderate	No	Substantive analytics and risk-calibrated detail testing
Debt	Classification	Moderate	Moderate	Moderate	No	Substantive analytics and risk-calibrated detail testing
Journal entries	Occurrence	High	Moderate	High	No	population integrity and management-override testing
Journal entries	Completeness	Moderate	Moderate	Moderate	No	Substantive analytics and risk-calibrated detail testing
Journal entries	Accuracy	Moderate	Moderate	Moderate	No	Substantive analytics and risk-calibrated detail testing
Journal entries	Classification	High	Moderate	High	No	population integrity and management-override testing
Prepays	Existence	Moderate	Moderate	Moderate	No	Substantive analytics and risk-calibrated detail testing
Prepays	Rights	Moderate	Moderate	Moderate	No	Substantive analytics and risk-calibrated detail testing
Prepays	Valuation	Moderate	Moderate	Moderate	No	Substantive analytics and risk-calibrated detail testing
Prepays	Classification	Moderate	Moderate	Moderate	No	Substantive analytics and risk-calibrated detail testing
Revenue	Occurrence	High	Moderate	High	No	detail, cutoff, and confirmation or alternatives
Revenue	Completeness	Moderate	Moderate	Moderate	No	Substantive analytics and risk-calibrated detail testing
Revenue	Accuracy	Moderate	Moderate	Moderate	No	Substantive analytics and risk-calibrated detail testing
Revenue	Cutoff	High	Moderate	High	No	detail, cutoff, and confirmation or alternatives
Equity	Existence	Moderate	Moderate	Moderate	No	Substantive analytics and risk-calibrated detail testing
Equity	Rights	Moderate	Moderate	Moderate	No	Substantive analytics and risk-calibrated detail testing
Equity	Completeness	Moderate	Moderate	Moderate	No	Substantive analytics and risk-calibrated detail testing
Equity	Classification	Moderate	Moderate	Moderate	No	Substantive analytics and risk-calibrated detail testing
Payroll	Occurrence	Moderate	Moderate	Moderate	No	Substantive analytics and risk-calibrated detail testing
Payroll	Completeness	Moderate	Moderate	Moderate	No	Substantive analytics and risk-calibrated detail testing
Payroll	Accuracy	Moderate	Moderate	Moderate	No	Substantive analytics and risk-calibrated detail testing
Payroll	Cutoff	Moderate	Moderate	Moderate	No	Substantive analytics and risk-calibrated detail testing